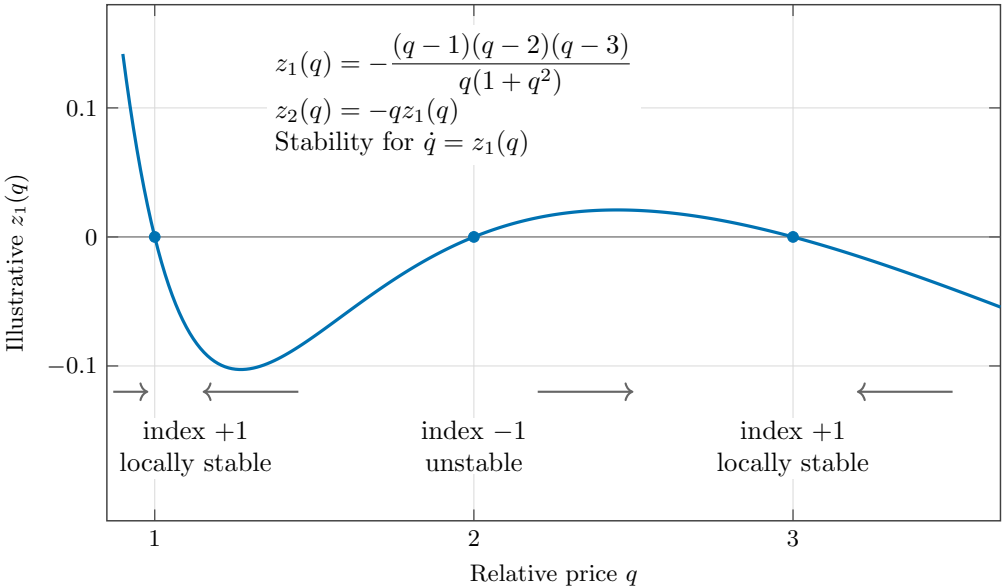

$z_1(q) = -\dfrac{(q-1)(q-2)(q-3)}{q(1+q^2)}$
$z_2(q) = -qz_1(q)$
Stability for $\dot{q} = z_1(q)$
0.1
0
−0.1
Illustrative $z_1(q)$
index +1
locally stable
index −1
unstable
index +1
locally stable
1
2
3
Relative price q